Strategic Capital Allocation for ScubaCrew and SnowFox:

An Investment Recommendation for Bali and Hakuba

Project 32

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Introduction

In the post-pandemic global tourism economy, investors are increasingly seeking to balance short-term returns with long-term resilience. This report joins an emerging conversation at the intersection of hospitality strategy, tourism investment, and sustainable destination development. Existing research has examined destination competitiveness (Dwyer & Kim, 2003), seasonal volatility in resort operations (Williams & Baláž, 2025), and strategic asset positioning in tourism markets (McKinsey & Company, 2024). More recent industry studies have emphasized the role of macroeconomic trends, legal frameworks, and ecological integration in shaping the strategic viability of tourism assets in Asia-Pacific regions.

While this body of work has advanced our understanding of what makes tourism investments successful, there is limited integrative analysis comparing how two distinct destination archetypes — an established tropical hub and an emerging alpine region — demand fundamentally different investment strategies. This issue is particularly important given the capital intensity and longtime horizons associated with resort development. Investors such as Denys Yao must navigate complex regulatory systems, cultural expectations, and infrastructure maturity while adapting to currency risk, shifting tourist preferences, and climate change. Understanding how to structure a coherent, dual-location investment strategy in such contexts — where one site offers high cash flow but limited asset permanence and the other promises equity appreciation but seasonal rigidity — is an urgent theoretical and practical challenge.

The purpose of this report is to examine the strategic investment trade-offs between Bali, a renowned tourist island in Indonesia, and Hakuba, a valley of ski resorts located in a village in the Japanese Alps, as potential sites for real-asset development in the outdoor tourism and hospitality sector. It analyzes how short- and long-term return profiles, regulatory risk, cultural alignment, and macroeconomic conditions interact to influence destination suitability. In doing so, the report

contributes a theory-informed investment recommendation supported by comparative analysis, legal and operational evaluation, and insights from SWOT frameworks. The implications are twofold: first, investors may gain a clearer decision-making model for multi-market tourism expansion; second, the report highlights how sustainability and regulatory design shape the viability of emerging resort ecosystems.

Comparative Investment Analysis

Accommodation Development and Resort Expansion Potential

Bali's accommodation development offers high short-term returns with relatively low entry costs, while Hakuba's resort expansion promises long-term value creation through vertical integration. According to CB Richard Ellis Group, Inc (CBRE) (2024), villa rental yields in Bali range between 9% and 16%, with occupancy rates exceeding 85% in prime areas like Canggu — driven by sustained international demand and constrained land availability. These figures underscore Bali's strength as a cash-flow-generating location, particularly for small-scale developments leveraging the Airbnb model.

However, Bali's approach fundamentally represents an "income strategy" reliant on consistent tourist flow and leasehold-based real estate. As assets depreciate and land reverts upon lease expiration, long-term collateralization and resale potential remain limited. By contrast, Hakuba presents an opportunity to transform SnowFox into a flagship four-season destination. Resort models that integrate lodging with multi-activity offerings — such as skiing, mountain biking, and hiking — align with global trends in mountain tourism, where McKinsey & Company (2024) highlights year-round operational integration as a key hedge against seasonality and market volatility.

Strategically, Hakuba exemplifies a "real asset equity play". As resorts evolve into branded lifestyle hubs, capital-intensive properties that blend operational functionality with experiential value can drive superior long-term asset appreciation (PwC, 2023). While Bali may offer higher short-term returns, Hakuba's vertical expansion — through wellness programs, Meetings, Incentives, Conferences,

and Exhibitions (MICE) facilities, and eco-tourism partnerships — positions it to deliver greater brand equity, operational scalability, and enduring investor value, assuming the capital structure accommodates a longer payback horizon.

Real Asset Potential and Return on Investment

Bali and Hakuba both offer unique yet comparable opportunities and benefits for investors. Bali provides a stable short- to medium-term return on investment, while Hakuba is better suited for long-term investment strategies. However, Bali's limitations and long-term risks stem from regulations concerning foreign land ownership, which typically involve 25-year lease agreements (InCorp Editorial Team, 2025). In contrast, investing in Hakuba presents a stronger long-term outlook due to the potential for real asset equity growth. Notably, land values in Hakuba increased by more than 30% from the second quarter of 2023 to the same period in 2024 (Resort Japan, 2025).

Bali, with its Airbnb-centric model, has demonstrated exceptional capital efficiency and strong returns. According to the proposal of this project (Ito & Yao, 2025), three projects have been completed to date, each with an initial investment of USD 500,000. This includes a 25-year land lease and the construction of 3–4 rental villas per project. The investment has produced robust rental yields — ranging from 6% to 10% for long-term leases and 10% to 15% for short-term Airbnb rentals (Elhaji, 2024). Even after accounting for significant operational costs, net yields remain attractive, typically between 10% and 12% (Bamboo Routes, 2025). For a typical property, this translates to an average annual Airbnb revenue of approximately USD 19,000. Profitability is driven by high demand, with occupancy rates in prime locations averaging 65% to 80% annually — and peaking at 80% to 90% during the high seasons (July-August and December-January) (Bamboo Routes, 2025). These metrics validate the financial strength of the model and its ability to deliver immediate, strong cash returns.

In contrast, the Hakuba investment model is a classic real-asset equity play. The opportunity lies in acquiring freehold land and buildings, which can be owned outright and without restriction by foreign

investors under Japanese law (Japan Direct Investment Company, 2025). While current cash flow from the seasonal business remains modest, the potential for long-term capital appreciation is significant. Property values in Hakuba have increased by 30% recently, even amid a weakening Japanese Yen — demonstrating strong investor confidence and sound market fundamentals. Investment in Hakuba prioritizes the creation of tangible, transferable wealth through long-term asset appreciation. The area's emerging four-season tourism model serves as a foundation for both future cash flow and rising property values.

SWOT Analysis: Bali and Hakuba

This analysis provides a strategic assessment of two contrasting tourism destinations: Bali, a mature tropical paradise grappling with the consequences of overtourism, and Hakuba, a high-growth alpine resort managing its rapid ascent while facing the threat of climate change.

SWOT Analysis: Bali

- **Strength:** Bali's cultural distinctiveness and brand appeal are its underlying strengths. The island still draws millions of visitors with its worldwide popularity and spiritual attractions (Pandit, 2025). Such universal appeal boosts investor confidence in hospitality investments that take advantage of its natural and cultural diversification.
- **Weakness:** The large-scale tourism has created serious infrastructural and societal frailties in Bali. Decades of excessive dependency on tourism have taken their toll on its systems, namely traffic, waste, and water pollution ("Bali tourism faces new crisis," 2025). These factors decrease livability and profitability, necessitating that investors take into consideration long-term environmental and operational expenses.
- **Opportunity:** Bali is ideally positioned to transition to higher-value, sustainable tourism, guided by recent government policies. These include a mandatory **tourist levy** for conservation (Governor of Bali, 2023) and a comprehensive **ban on single-use plastics**. This ban specifically

targets major sources of pollution like plastic bags, straws, and styrofoam, and was expanded in 2025 to include small beverage containers (Bali Expat, 2025). These initiatives signal a clear strategic direction, creating branding and funding opportunities for businesses that align with these green values and encouraging investment in upscale, sustainable hotels.

- **Threats:** Environmental damage poses the most direct threat to the tourism economy of Bali. Reports highlight severe ecological destruction, including plastics and dying reefs (Supartiwi, n.d.), which threaten its key tourism products (e.g., the viability of world-standard diving spots and aesthetic qualities of surf beaches) (Pandit, 2025). Such risks call for sustainability protection and contingency plans in any investment approach.

Strengths	**Weaknesses**
• Powerful global brand appeal and cultural uniqueness • Resilient, consistent foreign visitor numbers • Investor confidence in the hotel business	• Critical infrastructural deficiencies (traffic, waste, water) • Social strain created by tourism over-reliance • High operating and long-term environment costs
Opportunities	**Threats**
• High-value, sustainable tourism shift • Utilize new government policies (tourist levy, plastics ban) for green branding • Luxury, environment-friendly hotel investments growth	• Extreme environment destruction (dead reefs, plastic debris) • Damage to the core tourism product (diving, surfing) • Substantial sustainability protection measures in all types of investment

Figure 1: Bali SWOT

SWOT Analysis: Hakuba

- **Strength:** Its multi-season tourism potential and long-lasting legacy from hosting 1998 Nagano Winter Olympics events (Olympics.com, n.d.) is the strength of Hakuba. With ten world-standard ski resorts (Housing Japan 2025a), and in the process developing a summer product offering, the resort can withstand the fluctuations in the seasons. Diversification enhances the attractiveness

of Hakuba among year-round cash flow seekers in the investor pool.

- **Weaknesses:** Hakuba is significantly vulnerable to climate change and infrastructure stresses. Its winter popularity is threatened by unreliable snowfall, and its visitor expansion strains its infrastructure, as Ski Asia (2020) reports. These vulnerabilities may deter investment unless offset with successful sustainability and adaptation responses.
- **Opportunities:** There is a strategic opportunity for Hakuba to emerge as a value-for-money, environmentally sustainable alternative to Niseko, which is globally considered the most renowned and high-end international ski resort in Japan (Meltzer, 2023). An emphasis on sustainability by the local tourism authorities has set up Hakuba to establish a green brand perception appealing to value-seekers (HAKUBAVALLEY TOURISM SDGs Committee, 2020). Investors look at the potential in innovation in building environmentally sustainable resorts.
- **Threats:** The most existential threat to the ski-dependent economy of Hakuba is climate change. Rising temperatures, as noted by Ski Asia (2020), have already prompted peak-day shutdowns. Further, unbridled growth poses the threat of cultural loss and increased costs; issues that may erode community support and profitability (Kuhara, 2024).

Strengths	**Weaknesses**
• Multiseason tourism potential (summer and winter) • Strong brand heritage from 1998 Olympics • Established base of ten top-tier ski resorts	• Vulnerability to climate change (irregular snowfall) • Facilities overburdened by visitor increase • Investment risk without clear adaptation strategies
Opportunities	**Threats**
• Brand as an environmentally-friendly, reasonably-priced substitute for Niseko • Develop a strong "green brand" image • Sustainable construction innovation at resorts	• Existential threat of climate change to the ski industry • Unchecked growth leading to cultural loss and increased costs • Potential loss of community support and

	profitability

Figure 2: Hakuba SWOT

Synthesis and Strategic Implications

This analysis reveals Bali (Figure 1: Bali SWOT) and Hakuba (Figure 2: Hakuba SWOT) require two types of strategies. Bali requires a reactive plan in order to tackle existing environmental and infrastructural problems, while Hakuba can apply a proactive plan in an effort to prevent the development from occurring in the same manner. For both destinations, however, sustainability has evolved from a niche concept into a core pillar for survival and growth, highlighting the critical interdependence of tourism, property development, and community well-being. This SWOT analysis provides the foundational context for Section 2, where specific investment models and operational strategies tailored to these distinct destination archetypes will be dissected.

Jurisdictional and Operational Landscape

Legal Frameworks and Property Ownership Rights

The contrasting land ownership frameworks in Bali and Hakuba fundamentally shape the strategic viability and risk profile of long-term investment. In Bali, foreign investors operate under leasehold agreements typically capped at 25-30 years, with inherent reversion risks and uncertain renewal terms. Even alternative structures, such as PT PMA entities or HGB titles, involve navigating complex, evolving regulatory processes (Astono, 2025). This framework supports short-term yield generation but erodes long-term asset permanence and limits financing flexibility.

In contrast, Japanese law grants foreigners unrestricted rights to purchase freehold land and property, offering superior tenure security. As a result, Hakuba-based assets can serve as appreciating equity holdings with greater potential for collateralization, refinancing, and transferability. This legal asymmetry is pivotal: according to Japan Direct Investment Company (2025), foreign investors in Japan

enjoy equal property rights as local citizens, enabling perpetual ownership—an advantage unavailable under Indonesia's legal system.

From a risk-adjusted investment perspective, Bali falls into a high-yield, regulation-sensitive category, whereas Hakuba presents a lower-risk, equity-preserving profile. Notably, Indonesia's updated Omnibus Law (GR 18/2021) has introduced stricter requirements for development timing and land-use compliance, intensifying procedural complexity for villa investors (Medina, 2021). In contrast, Hakuba's transparent legal procedures and investor-aligned local policies create a more stable and predictable regulatory environment. This divergence should weigh heavily in Denys's capital allocation strategy — particularly if his long-term goals include asset-backed financing, generational transfer, or brand-scalable ownership structures.

Financial Landscape and Local Regulatory Framework

Financial Metric	Bali	Hakuba
Primary Financial Driver	Substantial increases in land prices in high-demand tourist areas (e.g., Canggu, Seminyak).	Rapidly appreciating real estate market, making land acquisition the most significant cost.
Annual Land Value Growth	Around 7% annually (since 2022) (Legion Real Estate, 2024).	Approximately 30% annually.
Example Land Value	Specific values not provided, but growth is concentrated in prime tourist regions.	Prime land on Wadano Road was valued at ~¥37,000/sqm (~USD 230/sqm) in mid-2024 (Resort Japan, 2025).
Supporting Economic Factors	Supported by Indonesia's growing GDP and projection as a top global economy by 2030 (Russel, 2025).	Strong investor confidence (inferred from 30% value increase).

Figure 3: Financial Metrics

This comparison, as detailed in Figure 3: Financial Metrics, highlights a key financial trade-off. In both Hakuba and Bali, the primary risk is the cost of delay: postponing investment could result in

significantly higher land prices, reducing future returns. In Bali, an additional risk lies in regulatory complexity. The legal framework is less stable than in Hakuba and often changes with shifts in government leadership. Furthermore, challenges such as inconsistent contractor quality and a multi-layered fee structure can lead to unforeseen expenses and budget overruns — requiring a larger contingency buffer. A decisive investment in Hakuba could help lock in a lower cost basis and maximize capital gains. In contrast, investing in Bali demands careful planning and a more conservative budget to account for regulatory and operational uncertainties.

Cultural Landscape and Community Expectations

Bali: Cultural compliance in Bali extends beyond legal regulations and is embedded in deeply spiritual values. According to the internal project proposal (Ito & Yao, 2025), construction activities must align with "Buddhist environmental values“, ensuring projects are not "excessively luxurious and must maintain aesthetic and ecological harmony". This philosophy shapes architectural norms and development policies across the island. This concept is professionally known as Tri Hita Karana, an indigenous Balinese Hindu principle emphasizing harmony among people, nature, and the divine. As Manon Design Studio (n.d.) notes, the Tri Hita Karana principle is operationalized through building design guidelines that promote ecological balance and cultural preservation. For investors, this underscores the need for respectful, culturally aligned project planning to gain social legitimacy and regulatory approval.

Hakuba: Hakuba’s cultural landscape is shifting due to rising international tourism. Once rooted in local farming communities that developed the ski industry (Grinspoon et al., 2014), the area now faces social tensions linked to “Westernization.” Concerns about tourist behavior and rising living costs have been raised by both residents and researchers (u/octobry, 2013; Dauk, 2015). These cultural changes affect local attitudes toward foreign investment. About 60% of residents now favor stricter land-use regulations to prevent over-development and preserve Hakuba’s identity (Japan Property

Central, 2025). Pushback against unlicensed rentals, including illegal Airbnbs, reflects this growing sentiment (Japan Property Central, 2017). Future SnowFox expansions must comply with hotel and ryokan regulations and demonstrate collaboration with local stakeholders to earn operational acceptance.

Macroeconomic and Tourism Trend Analysis

Currency Fluctuations and Post-COVID Tourism Recovery

Metric	Bali	Hakuba
Currency Impact	Stable IDR (<3% volatility) provides a natural hedge, enabling competitive pricing (Arida et al. 2023).	JPY depreciation (>15%) exacerbates costs, triggering 22% higher import-cost pass-through (Eilat & Einav 2024).
Operational Cost Structure	Captures price-sensitive markets, leading to an 18% wider profitability gap (CBRE, 2024).	Forced to absorb 80% of annual fixed costs within its 4-month peak season (Organisation for Economic Co-operation and Development [OECD], 2023).
Post-Pandemic Revenue Recovery	As a multi-market hub, it achieved 105% revenue recovery with 6.8 million arrivals (+5% vs. 2019) (United Nations World Tourism Organization	As a mono-market destination, it achieved 85% revenue recovery, facing a 60% Chinese tourist deficit (UNWTO 2025; Japan National Tourism

	[UNWTO], 2025).	Organization [JNTO] 2025).
Connectivity and Occupancy	A diversified visitor base sustains >70% occupancy (Statista, 2025).	Unresolved air connectivity (58% of pre-pandemic capacity) correlates with 65% off-season vacancies (Gössling et al., 2023; CBRE Japan, 2024).
Seasonal Vulnerability	Synergistic activities enable 11-month revenue streams with low (12%) peak-to-trough occupancy variance (McKinsey Global Institute 2024).	Suffers from "seasonality traps" with 78% of visits in 4 months, leading to high (63%) occupancy variance (Williams & Baláž, 2025; Hakuba Tourism Bureau, 2024).

Government Policies and Infrastructure Development

Japan aims to attract 60 million inbound visitors by 2030 (Official Airline Guide [OAG], 2024), reflecting a broader shift in national tourism strategy that emphasizes regional revitalization and sustainability. Destinations like Hakuba — an alpine resort in Nagano Prefecture famed for its multi-season tourism potential and its legacy from hosting events during the 1998 Nagano Winter Olympics — are central to this plan, offering a viable alternative to over-touristed cities like Tokyo and Kyoto (Japan External Trade Organization [JETRO], n.d.).

Hakuba aligns with Japan's sustainability goals through its "Zero Carbon Road Map," promoting carbon neutrality and ecological resilience. This supports the central government's push for green development across tourism zones. Investment incentives—including tax breaks, subsidies, and

preferential loans—target tourism, digital transformation, and carbon-neutral infrastructure (Organization for Overseas Social Good and Assistance [OOSGA], n.d.).

Local governments, including Nagano Prefecture and Hakuba Village, supplement national policies with region-specific financial support. Infrastructure upgrades — improved road access, expanded shuttle services, and enhanced Hakuba Station connectivity — further boost the area's appeal (Hakuba Valley, n.d.).

Hakuba is evolving into a year-round destination by diversifying into activities such as mountain biking, hiking, and glamping, reducing seasonal dependence and stabilizing demand. The village's emphasis on renewable energy and digital solutions also opens investment in green buildings, AI-driven tourism systems, and cloud-based platforms (JETRO, n.d.).

Real estate presents another key opportunity. Aging hotels and restaurants are ripe for renovation, and authorities encourage a shift toward consolidated, community-based development. External developers are already partnering with local banks to deliver higher-end projects that reinvest in local infrastructure and the environment.

With national strategy, local policy, and infrastructure working in tandem, Hakuba offers a compelling environment for sustainable, long-term investment in hospitality, digital tourism, and property redevelopment.

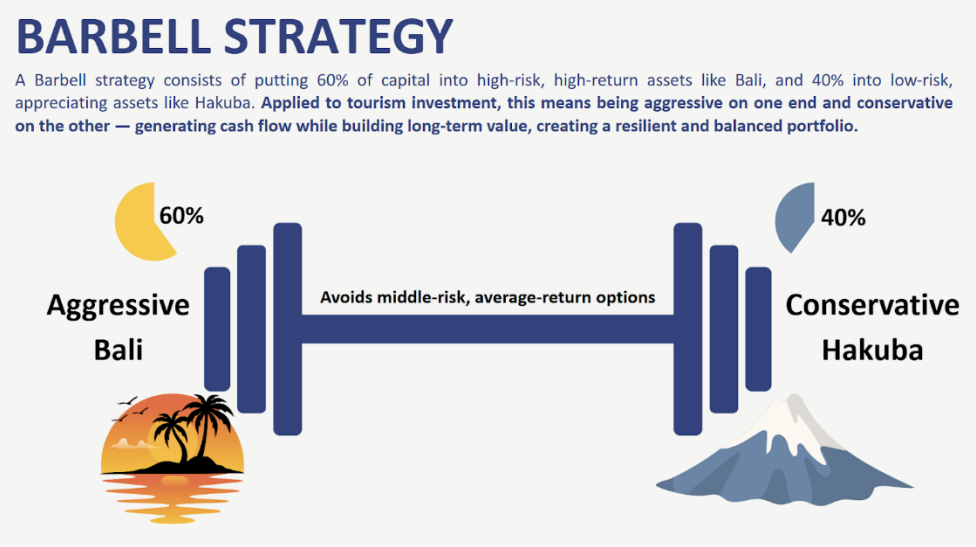
Indonesia's national tourism strategies have reshaped Bali's investment landscape by prioritizing sustainable and high-quality tourism development. The 2024–2025 Tourism and Creative Economy Outlook highlights key initiatives such as "10 New Bali" and "Wonderful Indonesia," which aim to enhance infrastructure while maintaining ecological and cultural balance (Ministry of Tourism and Creative Economy, 2024). The RPJMN 2020–2024 further identifies Bali's tourism sector as a national priority, promoting sustainability, digital innovation, and local empowerment (Republic of Indonesia, 2020). Additionally, the UNWTO profile positions Bali as a global model for integrated ecological,

cultural, and economic planning (UNWTO & Ministry of Tourism and Creative Economy, 2024). Together, these strategies align with global sustainability frameworks, offering a stable, long-term policy environment that appeals to investors seeking resilience and impact.

A range of government incentives strengthens Bali's position as a prime tourism investment destination. According to the *Indonesia Investment Guidebook 2022* by the Indonesia Investment Coordinating Board (BKPM), these incentives include streamlined permits through the Online Single Submission (OSS) system, simplified land acquisition, and non-fiscal benefits in Special Economic Zones (BKPM, 2022). Notable benefits such as investment allowances of up to 30% of capital expenditure and import duty exemptions help reduce initial costs for investors. The *2024–2025 Tourism and Creative Economy Outlook* also highlights regional funding tools and training programs that bolster local tourism businesses (Ministry of Tourism and Creative Economy, 2024). Together, these measures reduce investment risks, enhance liquidity, and improve the predictability of returns — making Bali a competitive destination for eco-resorts, cultural tourism, and digital ventures in Southeast Asia.

Infrastructure development plays a crucial role in sustaining investor confidence in Bali's tourism sector. BKPM data indicates that in 2023, over USD 219 million in foreign direct investment flowed into Bali's hotel and restaurant industries, largely driven by infrastructure confidence (Legal Indonesia Service, 2023). Key projects, including the Bali Urban Rail, expanded airport terminals, and digital border control systems, are set to improve connectivity and visitor handling capacity. These upgrades ensure that Bali can accommodate growing tourist volumes while maintaining service quality. The previously mentioned *Tourism and Creative Economy Outlook* confirms that mobility and logistics are integral to the "10 New Bali" initiative (Ministry of Tourism and Creative Economy, 2024). Investors are drawn to more efficient systems, as improved infrastructure reduces operational costs, enhances guest satisfaction, and boosts long-term revenue potential, positioning Bali as a future-ready tourism hub.

Strategic Investment Recommendation



Balancing short-term returns with long-term growth is vital in tourism investment and development. A dual-location strategy, inspired by the barbell approach, offers an effective way to allocate resources between Bali's income-generating assets and Hakuba's appreciating freehold properties. The barbell strategy[1], well-established in investment theory (Taleb, 2012), recommends combining high-yield, short-term assets with stable, long-term holdings to reduce volatility. In this context, Bali provides steady cash flow, while Hakuba offers potential for capital appreciation. Practically, this allows the investor to leverage Bali's fast cash cycles to support operations and reinvestment, while building lasting value through Hakuba's rising land prices and secure ownership. By avoiding concentration in a single risk type, the investor benefits from two complementary growth drivers — one ensuring liquidity, the other fostering asset growth — enhancing portfolio resilience and aligning with both operational and strategic objectives.[1]

A dual-location investment strategy — allocating approximately 60% of capital to Bali and 40%

[1] The barbell strategy is named after the weightlifting barbell, which has heavy weights on both ends and a narrow center (Angel One, n.d.). Similarly, this investment approach allocates funds to both low-risk and high-risk assets, avoiding moderate-risk options in between.

to Hakuba — offers a balanced approach to managing liquidity needs and long-term asset growth. This hybrid model reduces geographical, legal, and seasonal concentration risks while aligning investment timing with distinct market cycles.

Bali's mature tourism ecosystem and high rental yields support its position as a short- to medium-term cash engine. With average short-term rental returns of 10–15% and occupancy rates exceeding 85% in prime locations like Canggu (CBRE, 2024; Bamboo Routes, 2025), a continued 60% allocation into Bali will ensure consistent revenue generation. Moreover, project capital efficiency remains high — USD 500,000 is sufficient for one full development cycle of 3–4 villas with 25-year land lease and an average annual net return of USD 50,000 to 60,000 per project (Elhaji, 2024). Importantly, Bali offers faster payback cycles (typically under 6 years), enabling internal capital recycling within the investment window.

However, Bali's leasehold model introduces long-term asset erosion risk. Land reverts after 25 years, and regulatory uncertainty, including recent Omnibus Law enforcement tightening land-use compliance (i.e., stricter requirements for development timing and land-use compliance, intensifying procedural complexity for villa investors; Medina, 2021), adds execution risk. Additionally, environmental strain and overtourism pressures may introduce reputational and operational drag over time (Pandit, 2025). Therefore, capping the allocation at 60% prevents overexposure to a high-yield yet finite-ownership environment.

Conversely, Hakuba's value lies in long-term equity appreciation and vertical integration potential. Land values have appreciated over 30% between 2023 and 2024 (Resort Japan, 2025), and properties are held under freehold ownership with no foreigner restrictions (Japan Direct Investment Company, 2025). Although current revenue remains seasonal, government policy — including green infrastructure incentives and Japan's national inbound tourism target of 60 million by 2030 (OAG, 2024) — positions Hakuba for scalable growth. A 40% capital allocation allows the company to begin

expanding year-round operations (e.g., glamping, hiking, wellness), gradually building a diversified income base while benefiting from medium- to long-term capital gains.

By combining high-yield cash flow from Bali with asset-backed, policy-supported equity growth in Hakuba, this dual-location strategy mitigates volatility and enhances resilience. It allows the company to finance near-term operating needs while creating long-term enterprise value — particularly relevant if the founder intends to pursue generational transfer, brand equity scaling, or refinancing based on collateral value.

Conclusion

In conclusion, the investment decision between Bali and Hakuba presents a strategic trade-off between short-term profitability and long-term equity growth. This report's analysis confirms that while Bali provides a proven, high-yield cash-flow model, its advantages are fundamentally constrained by a finite leasehold property system and the growing pressures of a mature market. In contrast, Hakuba offers a superior opportunity for sustainable wealth creation, anchored by secure freehold land ownership, significant potential for capital appreciation, and alignment with supportive national tourism strategies. Therefore, this report decisively recommends a dual-location investment strategy, inspired by the barbell approach, that allocates capital to both locations. This balanced model leverages Bali's reliable cash flow to strategically fund Hakuba's long-term development, creating a resilient, synergistic portfolio. By mitigating geographical and regulatory risks, this approach positions ScubaCrew and SnowFox not only for immediate financial stability but for enduring enterprise value and leadership in the global adventure tourism sector.

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